

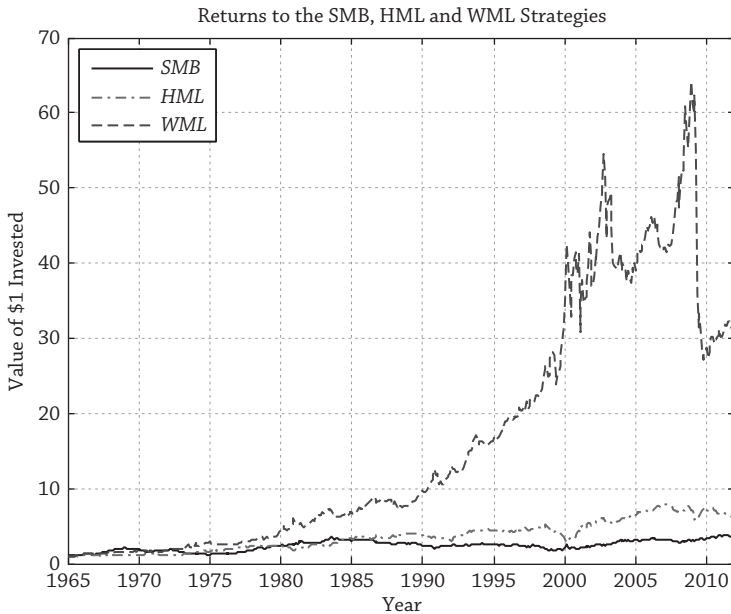


Figure 7.7

trading advisory funds. Momentum is also called “trend” investing, as in “the trend is your friend.”

Momentum returns are not the opposite of value returns: in Figure 7.7, the correlation of *HML* with *WML* is only -16% . But many investors who claim that they are growth investors are actually momentum investors, especially mutual funds (see chapter 16), as pure growth underperforms value in the long run. There is one sense in which momentum is the opposite of value. Value is a *negative feedback strategy*, where stocks with declining prices eventually fall far enough that they become value stocks. Then value investors buy them when they have fallen enough to have attractive high expected returns. Value investing is inherently stabilizing. Momentum is a *positive feedback strategy*. Stocks with high past returns are attractive, momentum investors continue buying them, and they continue to go up! Positive feedback strategies are ultimately destabilizing and are thus subject to periodic crashes, as Figure 7.7 shows and as I discuss below.

The presence of momentum does not contradict the advice that I gave on rebalancing in chapter 4 for long-horizon investors. Momentum is primarily a *cross-sectional strategy* within an asset class: it looks at a particular group of stocks (those with past high returns) relative to another group of stocks (those with past low returns). Rebalancing, in contrast, should be done primarily at the asset class or strategy level because rebalancing requires the assets or strategies to exist over the long run while individual equities can disappear. Momentum manifests across